



FUNERAL ASSURANCE SECTOR REPORT

For the Year -Ended
31 December 2021

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- II. This report relates to funeral assurance business written by funeral assurers only and does not relate to funeral assurance business written by life assurers. The funeral assurance business generated by life assurers is reported in the life assurance report.
- III. Growth referred to in this report is nominal growth unless stated otherwise.
- IV. Please Note: All Monetary Figures are in ZW\$ except where stated.
- V. Income statement figures were adjusted using year-on-year inflation of 60.7 % reported for December 2021. Source:
<https://www.rbz.co.zw/index.php/research/markets/inflation>
- VI. **Balance sheet figures were not adjusted due to the unavailability of quarterly inflation figures. Therefore, balance sheet figures are compared on a nominal basis.

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ABBREVIATIONS

GPW	Gross Premium Written
NPW	Net Premium Written
IPEC	Insurance and Pensions Commission
MCR	Minimum Capital Requirement
PA	Prescribed Assets/Securities as defined by the Insurance Act [Chapter 24:07]
S.I.	Statutory Instrument
TCF	Treating Customers Fairly
ZICARP	Zimbabwe Integrated Capital and Risk Programme



1. Executive Summary

- 1.1. For the twelve months under review, the number of registered and operating funeral assurers stood at eight (8).
- 1.2. The inflation-adjusted Gross Premium Written for the funeral assurance sector increased by 203% from ZW\$274.14 million reported for the twelve months ended 31 December 2020 to ZW\$830.38 million for the twelve months ended 31 December 2021.
- 1.3. As at 31 December 2021, six (6) out of the eight (8) funeral assurers were compliant with the regulatory minimum capital requirement of ZW\$62.50 million, as prescribed in Statutory Instrument 59 of 2020.
- 1.4. The total assets for the funeral assurance sector increased by 21.15% from ZW\$2.37 billion as at 30 September 2021 to ZW\$2.87 billion as at 31 December 2021.
- 1.5. All funeral assurers were not compliant with the minimum prescribed asset ratio, with an average prescribed asset ratio of 0.16% for the sector against a required ratio of 10%, as stipulated in Statutory Instrument 206 of 2019.
- 1.6. The total amount invested in prescribed assets was only ZW\$4.69 million against the required minimum amount of ZW\$287.46 million to comply with the minimum prescribed asset threshold of 10%.
- 1.7. Total technical liabilities for the funeral assurance sector slightly increased by 4.65% in nominal terms from ZW\$1.30 billion as at 30 September 2021 to ZW\$1.36 billion as at 31 December 2021, with future policyholders' benefits being the major component constituting 99.43% of the technical liabilities.
- 1.8. Profit before tax for the funeral assurance sector increased by 255% in nominal terms from ZW\$46.88 million for the twelve months ended 31 December 2020 to ZW\$166.66 million for the comparative period in 2021. After adjusting for inflation, the profit before tax increased by 121% from ZW\$46.88 million to ZW\$103.68 million over the same period.
- 1.9. For the twelve months ended 31 December 2021, two players dominated the funeral assurance sector in terms of GPW, with a total market share of 82.8%. The remaining six (6) funeral assurers accounted for the balance of 17.2%.
- 1.10. None of the funeral assurers had any reinsurance arrangement(s) in place for the twelve months ended 31 December 2021.

2. Introduction

- 2.1.** The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising, and developing the insurance and pensions sector for the protection of policyholders and pension scheme members in Zimbabwe.
- 2.2.** This report outlines the funeral assurance sector developments and IPEC's various activities in the funeral assurance sector consistent with its statutory mandate during the twelve months ended 31 December 2021.

3. Terms of Reference

- 3.1.** The activities of the Commission are guided by the following Acts and their Regulations:
- 3.1.1. Insurance and Pensions Commission Act [*Chapter 24:21*];
 - 3.1.2. Pension and Provident Funds Act [*Chapter 24:09*];
 - 3.1.3. Insurance Act [*Chapter 24:07*];
 - 3.1.4. Money Laundering and Proceeds of Crime Act [*Chapter 09:24*];
 - 3.1.5. Finance Act [*Chapter 23:04*];
 - 3.1.6. Public Entities and Corporate Governance Act [*Chapter 10:31*];
 - 3.1.7. Public Finance Management Act [*Chapter 22:19*]; and
 - 3.1.8. Public Procurement and Disposal of Public Assets Act [*Chapter 22:23*]

4. ECONOMIC DEVELOPMENTS

4.1 Global and Regional Economic Outturn and Outlook

The International Monetary Fund (IMF) estimated global output growth of 5.9% in 2021, and a subdued projection of 4.4% in 2022 due to economic disruptions caused by the Omicron variant. The World Bank on the other hand estimated a growth of 5.5% in 2021 and 4.1% in 2022, reflecting continued Covid-19 flare-ups, and persistent supply bottlenecks.

The growth rates in other regions are illustrated in Table 1.

Table 1: World Economic Outlook Projections

	2021	2022	2023
World Output	5.9	4.4	3.8
Advanced Economies	5.0	3.9	2.6
USA	5.6	4.0	2.6
Euro Area	5.2	3.9	2.5
Emerging Markets and Developing Economies	6.5	4.8	4.7
China	8.1	4.8	5.2
Sub-Saharan Africa	4.0	3.7	4.0
Nigeria	3.0	2.7	2.7
South Africa	4.6	1.9	1.4
Zimbabwe	5.1	3.1	-

Source: January 2022 World Economic Outlook Update, IMF Projections

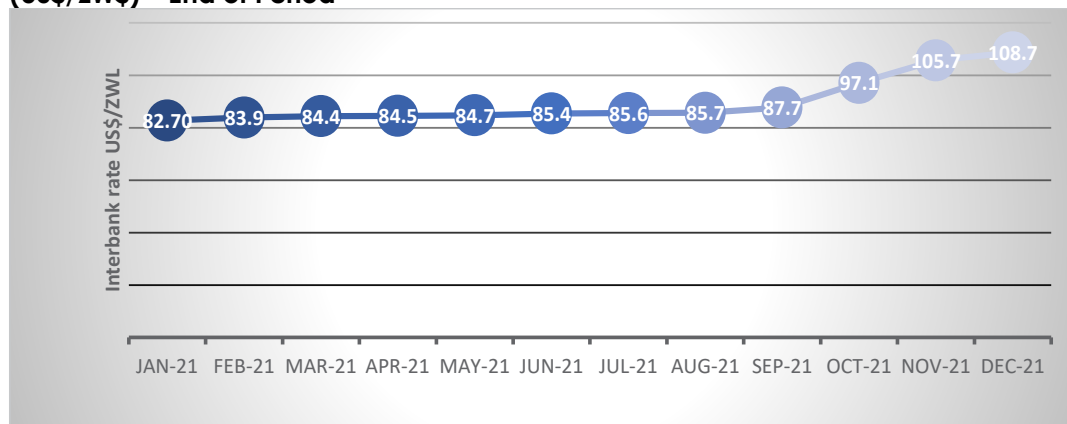
4.2 Domestic Economic Performance Outturn and Outlook

The domestic output growth for 2021 is estimated to reach 7.8%, reflecting a strong rebound from -5.3% registered in 2020. In 2022, the economy is projected to grow by 5.5%, underpinned by higher output in mining, manufacturing, agriculture, and construction.

4.3 Exchange Rate Developments

The Zimbabwe dollar depreciated against the US dollar in the fourth quarter, shedding 31.44% to close at an average of US\$1: ZW\$108.7. The marginal depreciation was due to high foreign exchange demand as businesses were gearing for re-stocking ahead of the festive season. Figure 1 shows the exchange rate trend since January 2021.

**Figure 1: Interbank Exchange Rate January to December 2021
(US\$/ZWL) – End of Period**

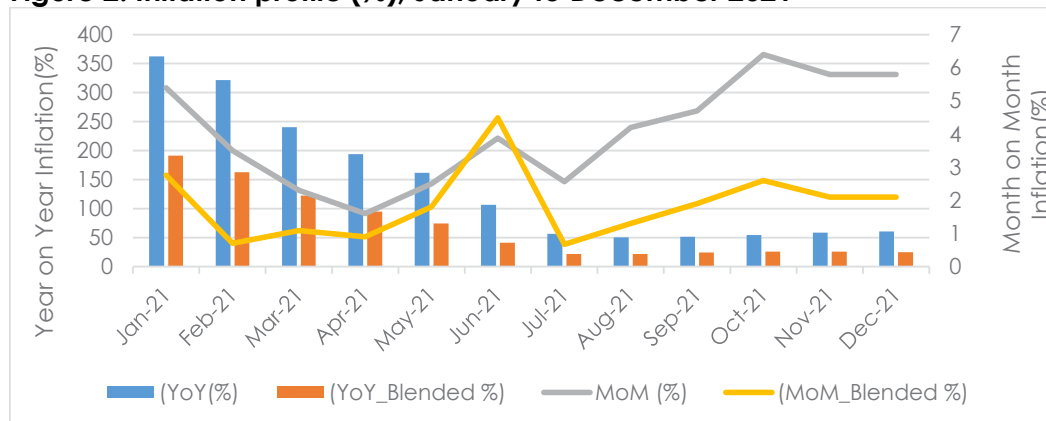


Source: Reserve Bank of Zimbabwe

4.4 Inflation Developments

The annual inflation decreased to 60.7% in December 2021, down from 362.6% registered in January 2021. The month-on-month inflation spiked in June and October 2021 due to acceleration in food and non-food inflation before slowing down towards the end of 2021 on account of tight monetary policy, and fiscal policy consolidation measures. Figure 2 illustrates the inflation trend from January to December 2021.

Figure 2: Inflation profile (%), January to December 2021



Source: Zimbabwe National Statistics Agency

4.5 Zimbabwe Stock Exchange Performance

The fourth quarter of 2021 experienced positive trading, with the Top 10, and All-Share indices gaining 40.2%, and 26.1%, respectively. The local bourse increased by 40.13% worth of capitalisation to close at ZW\$1, 3 trillion from ZW\$940.02 billion recorded in the third quarter of 2021. The level of activity on the stock exchange was driven by the demand for equities as a value-preserving asset. Table 2 shows the quarterly change in the key stock market indicators.

Table 2: Changes in the Key Stock Market Indicators

ZSE Indicator	Sept-2021	Dec-2021	Change (%)
All share index (points)	8, 580.16	10, 822.36	26.1
Top 10 Index (points)	4, 857.20	6, 811.43	40.2
Medium Cap Index (points)	20, 599.24	20, 407.26	-0.9
Small Cap Index (points)	25, 4232.9	40, 2753.1	58.4
Market Capitalisation (ZW\$ billion)	940.02	1, 317.21	40.1
Shares traded (million)	69.39	26.79	-61.4
Market turnover (ZW\$ mil)	1, 403.07	831.60	-40.7

Source: Zimbabwe Stock Exchange

4.6 Victoria Falls Stock Exchange (VFEX) Performance:

The VFEX registered trades worth US\$114,544.74 in the fourth quarter, a decline of 75.8% when compared to US\$473,336.01 recorded in the third quarter of 2021. Two mining companies, Caledonia Mining, and Bindura Nickel were listed on the VFEX during the quarter, bringing the total number of counters to four. The total market capitalisation level as at 31 December was US\$259,743,936.20.

4.7 Money Market Developments - Savings Deposit Rates

During the quarter under review, the average savings deposit rates were below 20% while the annual inflation rate closed at 60.7%. Thus, in the entire quarter, the real returns on money market investments continued to be in the negative territory.

4.8 COVID-19 Updates

The total Covid-19 cases in Zimbabwe rose to 213, 258 as at 31 December 2021, from 13, 867 recorded for the corresponding period in 2020. Covid-19 related deaths increased to 5, 004 cases from 363 cases in the prior year. The national recovery rate stood at 85% and a total of 313, 515 people had been fully vaccinated by year end.

4.9 Covid-19 Impact on Insurance and Pensions Industry

In the outlook, the emergence of the new Covid-19 variants could prolong the pandemic and induce renewed economic disruptions. Meanwhile, Zimbabwe welcomes the opening up of the country's borders, as this is expected to boost economic activity and address liquidity challenges faced by the insurance and pensions industry.

The renewed economic activity is expected to improve household and business incomes whose transmission effect will result in improved premium payments and pension contributions leading to low premium debtors, policy lapses, and contribution arrears in the insurance and pensions industry.

4.10 Impact of Eastern Europe Geopolitical Tensions

The geopolitical tensions in Eastern Europe have resulted in global commodity crises causing severe economic damage. Global commodity prices for oil, gas and wheat but to mention a few have risen to unprecedented levels and will most likely lead to imported inflation for the country thereby affecting business and household incomes.



5. Performance in terms of Business Written

- 5.1. The Funeral assurance sector recorded a nominal gross premium of ZW\$1.33 billion for the year ended 31 December 2021, an increase of 387% compared to ZW\$0.274 billion reported for the year ended 31 December 2020.
- 5.2. After adjusting for inflation, the funeral assurance sector's GPW increased by 203% from ZW\$274.14 million reported for the twelve months ended 31 December 2020 to ZW\$830.38 million for the twelve months ended 31 December 2021.
- 5.3. In nominal terms, new business contributed to an increase in GPW from ZW\$15.10 million during the twelve months of 2020 to ZW\$ 29.07 million reported for the comparative period in 2021.
- 5.4. The increase in GPW was also on account of premium increases as funeral assurers sought to align both the premiums and policyholder benefits in response to the dynamic inflationary macroeconomic environment.
- 5.5. This is also evidenced by a sharp increase in recurring business of 404% from ZW\$259.04 million for the year ended 31 December 2020 to ZW\$1.31 billion for the year ended 31 December 2021.
- 5.6. In nominal terms, all the players recorded significant growth of above 100% in GPW, and none of the players recorded negative growth.
- 5.7. For the twelve months ended 31 December 2021, life assurers wrote nominal funeral assurance business amounting to ZW\$10.53 billion which was approximately eight times more, as compared to ZW\$1.33 billion written by the dedicated funeral players.
- 5.8. A detailed breakdown of GPW per funeral assurer in terms of recurring and new business is shown in Appendix 4.

5.9. Table 3 below shows a summary of the GPW per company.

Table 3: Gross Premium Written Per Company (ZW\$ 000)

Name of Company	Dec-20	Dec-21	Dec -21 Inflation Adjusted	Change Inflation Adjusted	Nominal Change (%)
First Funeral	47,491.20	284,622.81	177,073.41	272.86%	499.32%
Foundation	11,834.66	49,429.74	30,751.90	159.85%	317.67%
Moonlight	175,260.91	820,578.36	510,509.36	191.29%	368.20%
Orchid	532.47	2,208.00	1,373.67	157.98%	314.67%
Passion	12,705.74	61,399.78	38,198.87	200.64%	383.24%
Ruvimbo	8,128.92	33,917.18	21,101.02	159.58%	317.24%
Sunset	1,859.79	3,730.23	2,320.70	24.78%	100.57%
Vineyard	16,325.21	78,847.18	49,053.48	200.48%	382.98%
TOTAL	274,138.89	1,334,733.29	830,382.41	202.91%	386.88%

6. Capitalisation

6.1. As at 31 December 2021 Six (6) out of the eight (8) funeral assurers were compliant with the regulatory minimum capital requirement of ZW\$62.50 million as prescribed by Statutory Instrument 59 of 2020.

6.2. The Commission continues to urge all players to be always capitalised. The sector is also urged to adequately prepare for the new capital regime in light of the developments towards the implementation of the Zimbabwe Integrated Capital & Risk Framework (ZICARP).

6.3. As at 31 December 2021, capital positions for funeral assurers ranged from ZW\$4.67 million to ZW\$500.10 million as shown in Table 4 below.

Table 4: Capitalisation Trend Levels

Name of Company	Dec-21 (ZW\$000)	Dec-20(ZW\$ 000)
First Funeral	158,713.27	155,996.00
Foundation	75,682.39	54,489.00
Moonlight	500,105.72	91,655.00
Orchid	4,671.28	5,851.00
Passion	30,063.61	6,154.00
Ruvimbo	95,611.91	56,230.00
Sunset	99,244.66	101,255.00
Vineyard	67,315.16	56,566.00
Total	1,031,408.00	528,196.00

Key

	Undercapitalised
	Capitalised

7. Asset Quality

7.1.Total assets for the funeral assurance sector increased by 21.15% from ZW\$2.37 billion as at 30 September 2021 to ZW\$2.87 billion as at 31 December 2021.

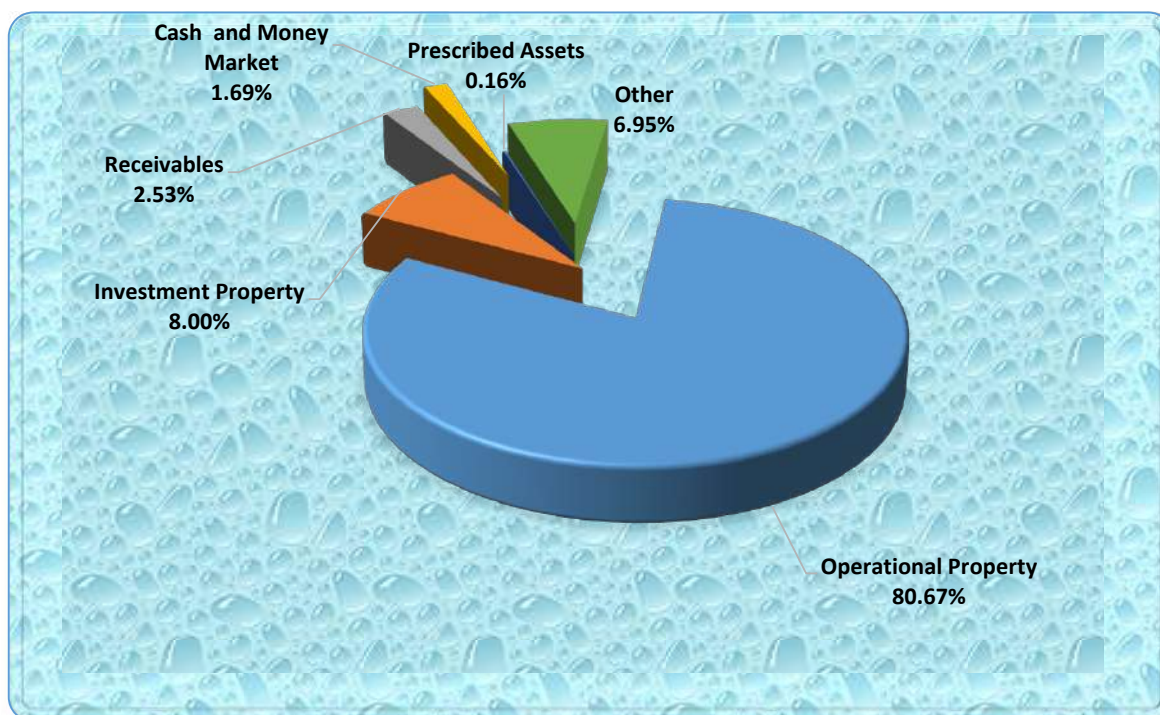
7.2.The asset base for the funeral assurance sector remains highly concentrated in immovable property consisting of 80.67% of the total assets because of concentration of investments in assets used for funeral service provision.

7.3.The Commission continues to urge sector players to be prudent and hold assets that match their liability profiles in view of their policies that have cash benefit components like short-term investments.

7.4.Investments in equities, cash, and money market instruments were held in very small proportions relative to the overall asset portfolio.

7.5.The distribution of assets for the funeral assurance sector is shown in Figure 5 below.

Figure 5: Breakdown of Assets



7.6. As at 31 December 2021, all funeral assurers were not compliant with the minimum prescribed asset ratio of 10%, as stipulated by Statutory Instrument 206 of 2019. Prescribed asset investments were insignificant as they accounted for an average of only 0.16% of the total asset portfolio.

7.7. The total amount invested in prescribed assets was ZW\$4.69 million against an expected minimum amount of ZW\$287.46 million, for the sector to comply with the 10% minimum prescribed asset threshold.

7.8. The Commission recommends the development of sector-specific projects that speak to industry needs for the possible conferment of prescribed asset status as a way of enhancing compliance.

7.9. Table 5 below shows the compliance levels with prescribed assets for each funeral assurer.

Table 5: Prescribed Assets Levels as at 31 December 2021 (ZWL\$'000)

Company name	PA Investments	Total assets	PA ratio	Amount required to be compliant	Variance compliance in
Orchid	-	11,970.45	0.00%	1,197.05	10.00%
First Funeral	500.00	190,883.87	0.26%	19,088.39	9.74%
Foundations	-	159,116.09	0.00%	15,911.61	10.00%
Moonlight	3,008.08	2,135,310.23	0.14%	213,531.02	9.86%
Passion	-	45,620.95	0.00%	4,562.10	10.00%
Ruvimbo	193.75	97,433.10	0.20%	9,743.31	9.80%
Sunset	740.29	105,833.37	0.70%	10,583.34	9.30%
Vineyard	251.36	128,403.19	0.20%	12,840.32	9.80%
Total	4,693.48	2,874,571.24	0.16%	287,457.12	9.84%

Table 6 below shows the key financial highlights for the funeral assurance sector as at 31 December 2021.

Table 6: Key Performance Indicators (ZWL\$' 000)

Key Performance Indicator	Funeral Assurers				
	Dec-20	Dec-21	Change	Dec -21 Inflation Adjusted	Change - Inflation Adjusted
Funeral assurers GWP (ZW\$000)	274,138	1,334,733	387%	830,382	203%
Total Gross Claims (ZW\$000)	65,042	281,977	334%	175,427.63	170%
Operating, Administration and Management Expenses (ZW\$000)	159,936	765,153	378%	476,027.87	198%
Commissions (ZW\$000)	17,200	91,932	434%	57,194.37	233%
Total Costs(ZW\$000)	242,180	1,139,063	370%	708,649.87	193%
Profit Before tax(ZW\$000)	46,881	166,658	255%	103,684	121%
Ratio Analysis	Dec-20	Dec-21	Change		
Expense Ratio	65%	64%	0%		
Claims Ratio	24%	21%	-3%		
Combined Ratio	88%	85%	-3%		
	Sep-21	Dec-21	Change		
Total Assets (ZW\$000)	2,372,742	2,874,571	21%		
Current Liabilities	450,832	482,031	7%		
Capital - Net Assets (ZW\$000)	611,985	1,031,408	69%		
Capital to liability Ratio	35%	56%	21%		
Prescribed Assets (ZW\$000)	7,773	4,693	-40%		
Prescribed Asset Ratio (%)	0.33%	0.16%	-0.16%		

8. Reassurance

- 8.1. All funeral assurers had no reinsurance arrangements in place for the year ended 31 December 2021, resulting in a reinsurance ratio of 0%.
- 8.2. The Commission is aware of various engagements which the sector is having with the reinsurers to ensure that there are suitable reinsurance arrangements in place.
- 8.3. The sector is however encouraged to expedite the process to ensure that players are effectively reassured, so that they will manage to pay high claims in the event of catastrophes.

9. Actuarial Matters

- 9.1. Total technical liabilities for the funeral assurance sector slightly increased by 4.65% in nominal terms from ZW\$1.30 billion as at 30 September 2021 to ZW\$1.36 billion as at 31 December 2021. Future policyholders' benefits continue to be the major component constituting 99.43% of the technical liabilities, while unearned premium reserve, gross outstanding claims and incurred but not reported claims accounted for an insignificant 0.57%.
- 9.2. Funeral assurers are continuously urged to exercise prudence in determining their reserves and to ensure that they are reflective of the various risks which they are exposed to.
- 9.3. In addition, since the funeral assurance players offer benefit policies whose cost moves in line with inflation, they should continuously review their reserves to align them with their liabilities.
- 9.4. The Commission notes that the development of mortality tables currently underway will improve reserving as well as pricing of the products by the sector.

10. Earnings

- 10.1. For the period under review, six (6) funeral assurers reported positive profit before interest and tax while two players reported losses.
- 10.2. The funeral assurance sector reported a nominal increase of 255% in profit before interest and tax from ZW\$46.88 million for the year ended 31 December 2020 to ZW\$166.66 million for the year ended 31 December 2021.
- 10.3. An increase in profit before interest and tax was on account of a notable increase in nominal GPW as players reviewed premiums in line with the prevailing inflationary macroeconomic environment.
- 10.4. Funeral assurance sector's average expense ratio increased from 60% for the nine months ended 30 September 2021 to 64% as at 31 December 2021. This implies that for every dollar of the premium received sixty-four cents was spent on management and operational expenses.
- 10.5. It is important for all sector players to continuously monitor their expenses so that they are sustainable.
- 10.6. The average claims ratio and combined ratio stood at 21% and 85% respectively.
- 10.7. A summary of the claims incurred, operating expenses and total costs for each funeral assurer for the twelve months to 31 December 2021, is shown in Appendix A5.

11. Liquidity

- 11.1. The funeral assurance sector reported an average current ratio of 150% indicating sufficient current assets to cover for short-term contractual obligations and other current liabilities.
- 11.2. The Commission urges funeral assurers to endeavor to match their asset profiles with their liability profiles in terms of maturity and timing.
- 11.3. Asset-liability mismatch may result in players holding either inadequate liquid assets to settle claims or too much liquid assets thereby foregoing investment opportunities that may yield positive returns.

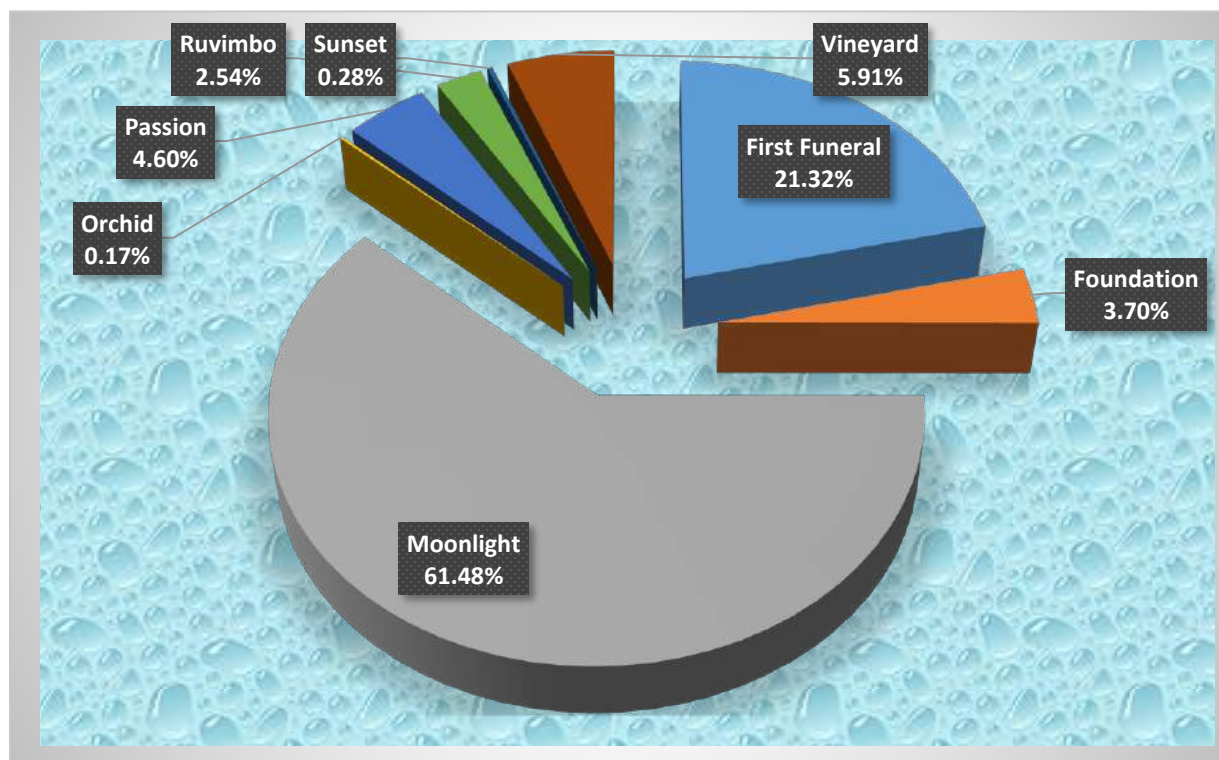
11.4. Funeral assurers are encouraged to hold adequate and appropriate short-term assets that can easily be liquidated to allow them to meet their statutory short-term debts, operational expenses and fulfil their claim obligations.

12. Market Share

12.1. For the twelve months ended 31 December 2021, two players dominated the funeral assurance sector in terms of GPW, with a total market share of 82.8%. The remaining six (6) funeral assurers accounted for the 17.2% difference.

12.2. The distribution of the market share in terms of GPW for the eight (8) funeral assurers is shown in Figure 6 below.

Figure 6: Market Share in terms of GPW as at 31 December 2021



13. Regulatory Developments for the Period Ending 31 December 2021

Circulars and Statutory Instruments

13.1. The Commission issued the following Statutory Instruments and Circulars to the insurance sector as shown in Table 7 below.

Table 7: Statutory and Circulars issued

Statutory Instrument (SI)	Date Gazetted	Purpose
S.I. 85 of 2021	26 March 2021	Revision of fees payable to the Commission
S.I. 86 of 2021	26 March 2021	Revision of levies payable to the Commission
Circular 27 of 2021	16 September 2021	Notification of publication of the Insurance and Pensions Commissions amendment Bill in the government gazette.
Circular 26 of 2021	16 September 2021	Notification of the Insurance Bill in the Government Gazette.
Circular 24 of 2021	8 July 2021	Call for input on investment guidelines
Circular 23 of 2021	30 June 2021	ZICARP Framework.
Circular 21 of 2021	11 June 2021	Launch of ZICARP framework.
Circular 18 of 2021	31 May 2021	Issuance of the revised guideline on adjusting insurance and pensions values in response to the 2019 currency reforms.

Circular 17 of 2021	07 May 2021	Requests for inputs into the 2021 mid-term budget and economic review and the 2022 budget strategy paper.
Circular 15 of 2021	27 April 2021	Postponement of the launch of ZICARP.
Circular 14 of 2021	16 April 2021	Request for information on externalised risks.
Circular 13 of 2021	09 April 2021	Sector feedback session on the implementation of the Guidance Paper.
Circular 12 of 2021	29 March 2021	Notification of publication of IPEC Levy regulations.
Circular 11 of 2021	09 March 2021	ZICARP Programme – Own Risk and Solvency Assessment (ORSA).
Circular 10 of 2021	05 March 2021	Deadline extension for the submission of 2020 Audited Financial Statements and Actuarial Valuation Reports.
Circular 9 of 2021	04 March 2021	Submission of monthly management accounts by funeral assurers to the Commission
Circular 8 of 2021	24 February 2021	Issuance of the treating customers fairly framework

Circular 5 of 2021	17 February 2021	2021 Global Money Week Commemorations
Circular 4 of 2021	28 January 2021	Request for currency reforms compensation framework proposals
Circular 3 of 2021	19 January 2021	Request of information on foreign currency denominated business
Circular 2 of 2021	12 January 2021	Delivery of electronic mail to IPEC
Circular 1 of 2021	04 January 2021	Provision of necessary services during the lockdown.

Regulatory Developments for the Period Ending 31 December 2021

Restructuring of the Commission

The Commission embarked on a restructuring exercise meant to align the organisational structure of its core departments with the key supervisory focus areas of prudential and market conduct supervision. This was necessitated by the need to enhance focus on market conduct, fair treatment of policyholders and prudential supervision.

In line with the restructuring of the Commission, the Insurance and Microinsurance Department was restructured and now has three (3) distinct sections. These are the Prudential Supervision, which will focus on assessing the financial soundness of insurance companies; Market Conduct Supervision that will focus on business conduct and fair treatment of policyholders; and the Technical Supervision, which will focus on financial analysis.

14. Funeral Assurance Sector Complaints

14.1. Funeral Assurers

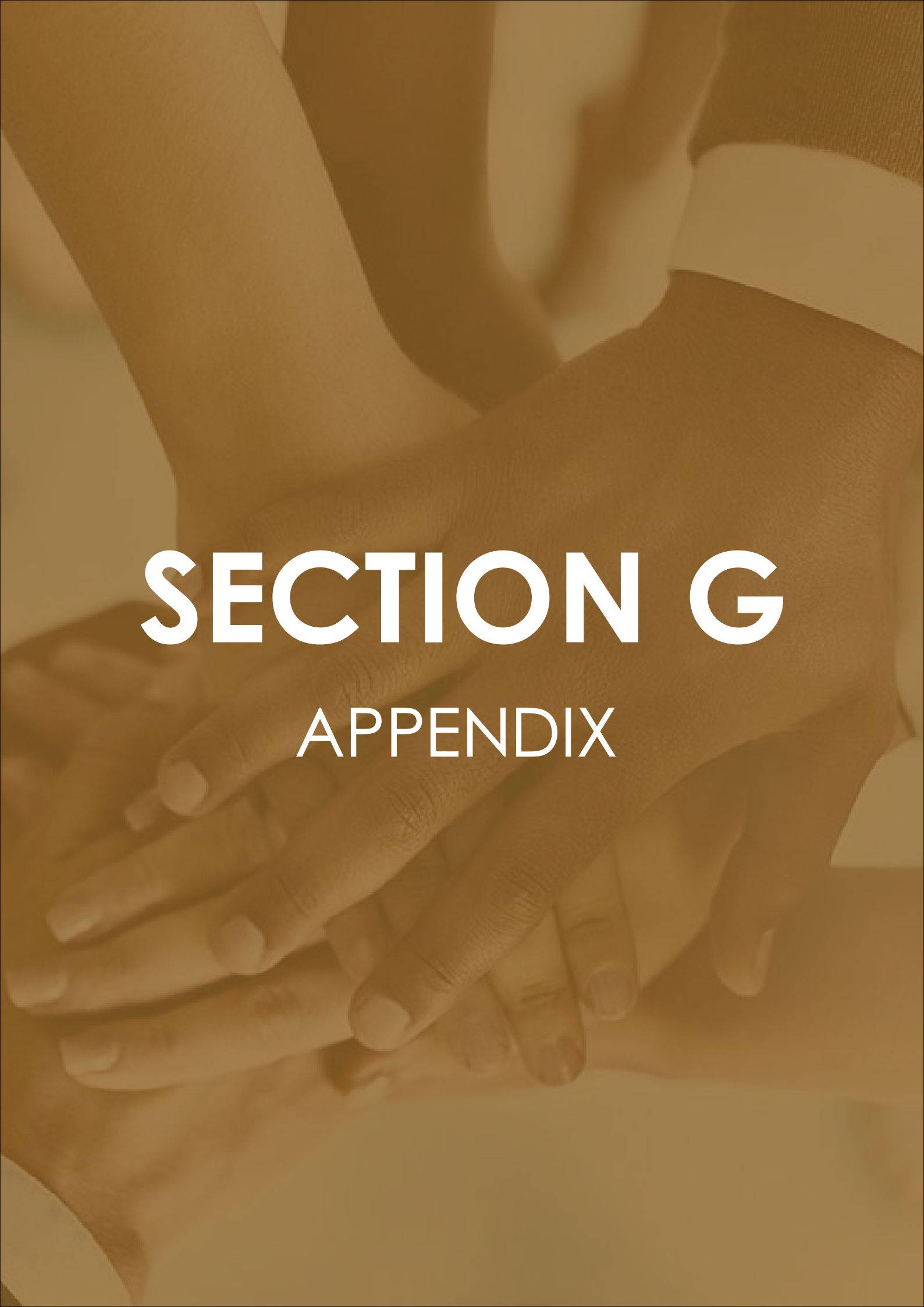
During the quarter under review, the Commission received 4 complaints, which were all resolved.

Nature of complaints	Number of complaints	% of total
Repudiation of claims	1	25%
Unsatisfactory service offered	2	50%
Delay in payment	1	25%
Total	4	100%

The complaints for the funeral assurance sector are mainly on repudiation of claim, delay in claim settlement and unsatisfactory service offered by the assurers. The Commission underscores the need for players to engage their clients regularly, so that policyholders have enough information about the terms and conditions of the policies and their implications on claims for them to make informed decisions.

15. Conclusion

- 15.1. The funeral assurance sector players should always be compliant with all applicable laws and regulations particularly on Minimum Capital Requirements and Prescribed Asset ratios.
- 15.2. In addition, the sector should also take all compliance issues seriously to avoid regulatory sanctions going forward.
- 15.3. The funeral sector is urged to revisit its business model so that it deals with the compliance issues and increased competition from life assurers amongst other things and this may also require funeral assurers to realign their balance sheets.
- 15.4. Sector players are also urged to have reinsurance arrangements in place as a risk management tool to manage high loss experiences.



SECTION G

APPENDIX

APPENDIX A1. KEY PERFORMANCE INDICATORS FOR FUNERAL ASSURANCE COMPANIES 31 DEC 2021

	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total/ Average
Key Performance Indicator									
Capital Adequacy									
Capital Position i.e Net Assets (ZW\$ 000)	4,671	158,713	75,682	500,106	30,064	95,612	99,245	67,315	1,031,408
Capital Coverage Ratio (CCR)	12.46%	423.24%	201.82%	1333.62%	80.17%	254.97%	264.65%	179.51%	343.80%
Equity/Total Assets Ratio	39.02%	83.15%	47.56%	23.42%	65.90%	98.13%	93.77%	52.42%	35.88%
Solvency Margin	67.95%	527.00%	98.29%	41.00%	0.00%	0.00%	0.00%	343.91%	75.85%
Asset Quality									
Total Assets (ZW\$ 000)	11,970	190,884	159,116	2,135,310	45,621	97,433	105,833	128,403	2,874,571
Investments to Total Assets	25.06%	45.95%	8.64%	0.14%	2.88%	21.50%	91.31%	6.00%	8.14%
Non-Interest Generating Assets/Total Assets	74.56%	45.20%	89.59%	99.72%	82.50%	74.54%	8.37%	92.44%	90.62%
Fixed Assets/Total Assets	71.62%	36.30%	81.67%	91.29%	0.00%	63.62%	5.34%	73.14%	80.67%
Prescribed Assets Ratio	0.00%	0.26%	0.00%	0.14%	0.00%	0.20%	0.70%	0.20%	0.16%
Premium Debtors/Gross Premium	15.86%	4.19%	25.50%	2.02%	0.74%	30.11%	63.16%	23.33%	5.46%
Premium Debtors/Total Assets	2.92%	6.24%	7.92%	0.78%	1.00%	10.48%	2.23%	14.33%	2.53%
Reinsurance									
Risk Retention Ratio	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
Actuarial									
UPR	67	0	0	0	0	0	0	0	67
Gross Outstanding Claims	0	280	0	713	0	0	0	0	993
Future Policyholder Benefits (ZW\$000)	6,808	29,836	77,001	1,218,912	-	-	-	19,573	1,352,130
Total Assets/Total Reserves	174.13%	633.82%	206.64%	175.08%	0.00%	0.00%	0.00%	656.01%	211.39%
Earnings									
Profit After Tax (ZW\$000)	-833	2717	-1136	108085	25573	7955	24	7837	150222
Return on Equity	-17.82%	1.71%	-1.50%	21.61%	85.06%	8.32%	0.02%	11.64%	14.56%
Return on Assets	-6.96%	1.42%	-0.71%	5.06%	56.06%	8.16%	0.02%	6.10%	5.23%
Loss(Claims) Ratio	0.64%	30.20%	17.04%	18.37%	35.00%	14.02%	9.16%	23.62%	21.62%
Net Commission Ratio	3.34%	25.85%	6.28%	2.01%	0.00%	0.00%	9.79%	5.26%	7.05%
Net Expense Ratio	133.72%	40.54%	81.89%	66.85%	0.00%	54.71%	3.24%	49.63%	57.33%
Combined Ratio	137.71%	92.39%	105.21%	87.23%	35.00%	67.46%	22.19%	76.23%	85.34%
Liquidity									
Current ratio	12.51%	6.15%	41.73%	227.25%	35.12%	15.85%	180.64%	127.28%	150%
Acid Test ratio									
Liquid assets as a percentage of total assets	25.44%	8.59%	1.76%	0.14%	14.59%	0.88%	0.32%	1.36%	1.21%
Market Shares									
Market Share Based on GPW	0.17%	21.32%	3.70%	61.48%	4.60%	2.54%	0.28%	5.91%	100%
Market Share Based on NPW	0.17%	21.32%	3.70%	61.48%	4.60%	2.54%	0.28%	5.91%	100%
Market Share Based on Total Assets	0.42%	6.64%	5.54%	74.28%	1.59%	3.39%	3.68%	4.47%	100%

APPENDIX A2. STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE YEAR ENDED 31 DEC 2021 (ZWS000)									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
Gross Written Premiums	2,208	284,623	49,430	820,578	61,400	33,917	3,730	78,847	1,334,733
Reinsurance Premiums	-	-	-	-	-	-	-	-	-
Net Written Premiums	2,208	284,623	49,430	820,578	61,400	33,917	3,730	78,847	1,334,733
Increase/(Decrease) in UPR		21,357				3,083		6,244	30,684
Net Earned Premiums	2,208	263,266	49,430	820,578	61,400	30,834	3,730	72,603	1,304,049
Provision for Future Claims	-	-	4,895	-	-	-	-	-	4,895
Outstanding claims	-	-	-	713	-	-	-	-	713
Paid Claims	14	79,517	3,530	150,007	21,490	4,322	342	17,148	276,370
Net Claims	14	79,517	8,425	150,720	21,490	4,322	342	17,148	281,977
Net Commissions and Fees	74	68,059	3,103	16,510	-	-	365	3,822	91,933
Technical Result	2,120	115,690	37,902	653,349	39,910	26,512	3,023	51,634	930,139
Operating/Administration Expenses	-	115,373	-	268,785	-	18,557	-	37,252	439,967
Underwriting Profit/(Loss)	2,120	317	37,902	384,563	39,910	7,955	3,023	14,382	490,172
Management expenses	2,953	-	40,477	279,756	-		121	1,881	325,187
Investment Income	-	-	-	-	-	-	-	-	-
Unrealised Gains/Losses	-	-	-	-	-	-	-	-	-
Other expenses	-	-	-	9,523	14,530	-	3,638	-	27,691
Other Income	-	2,421	1,499	25,089	193	-	760	(597)	29,365
Profit Before Interest and Tax	(833)	2,738	(1,075)	120,373	25,573	7,955	24	11,904	166,659
Taxation	-	-	61	-	-	-	-	-	61
Interest Payments	-	21	-	12,288	-	-	-	4,067	
Profit After Tax and Interest	(833)	2,717	(1,136)	108,085	25,573	7,955	24	7,837	150,222
Transfer to policyholders funds									-
Dividends									-
Retained Income	(833)	2,717	(1,136)	108,085	25,573	7,955	24	7,837	150,222

APPENDIX A3. STATEMENT OF FINANCIAL POSITION FOR FUNERAL ASSURERS AS AT 31 DEC 2021 (ZWS000)									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
ASSETS									
Non-Current Assets									
Property and Equipment	8,573	69,292	129,950	1,949,429	1	61,991	5,652	93,915	2,318,804
Investment Property	-	87,665	13,751	3,008	640	20,756	96,639	7,450	229,909
Investments in Securities	-	36	-	-	673	194	2	256	1,160
Intercompany Investments	-	-	-	-	-	-	-	-	-
Other Non-Current Assets	-	500	-	-	14	3,003	-	251	3,768
Total Non-Current Assets	8,573	157,493	143,700	1,952,437	1,328	85,943	102,294	101,872	2,553,641
Technical Assets									
Reinsurers' Share of O/S Claims	-	-	-	-	-	-	-	-	-
Deferred Acquisition Cost (DAC)	-	-	-	-	-	-	-	-	-
Total Technical Assets	-	-	-	-	-	-	-	-	-
Current Assets									
Cash & cash equivalents	46	16,391	2,805	2,946	6,658	856	336	1,748	31,787
Short Term Investments	3,000	14	-	-	-	-	-	-	3,014
Prescribed Assets	-	-	-	-	-	-	-	-	-
Inventory and Other Assets	1	5,074	5	163,371	37,181	423	847	6,386	213,288
Accounts Receivables	350	11,912	12,605	16,555	454	10,211	2,356	18,397	72,841
Total Liquid Assets	3,046	16,405	2,805	2,946	6,658	856	336	1,748	34,800
Total Assets	11,970	190,884	159,116	2,135,310	45,621	97,433	105,833	128,403	2,874,571
Liabilities									
Deferred Tax Liabilities	-	-	-	340,175	(100)	-	-	21,218	361,292
Future policyholders benefits	6,808	29,836	77,001	1,218,912	-	-	-	19,573	1,352,130
Short term loans	-	-	-	32,117	-	-	-	-	32,117
Long term Loans	-	-	-	-	-	-	195	7,747	7,942
Current Tax provisions	-	-	-	-	(2,422)	-	-	-	(2,422)
Gross Outstanding Claims	-	280	-	713	-	-	-	-	993
IBNR	-	-	-	-	-	-	-	-	-
UPR	67	-	-	-	-	-	-	-	67
Creditors	425	-	1,392	37,658	5,372	650	2,685	7,047	55,228
Amount due to related companies	-	-	-	-	-	-	-	-	-
Other Liabilities	-	2,054	5,041	5,631	12,708	1,171	3,709	5,502	35,817
Total Technical Liabilities/Reserves	6,874	30,116	77,001	1,219,625	6,658	-	-	19,573	1,359,848
Current Liabilities	425	2,054	6,433	415,580	15,557	1,821	6,394	33,767	482,031
Total Liabilities	7,299	32,171	83,434	1,635,205	15,557	1,821	6,589	61,088	1,843,163
Shareholders' Equity									
Share Capital	14	411	-	1,500	1,049	930	352	211	4,467
Share Premium	1,334	1,610	-	-	-	22,500	-	978	26,422
Revaluation & Other Reserves	5,571	148,081	134,957	1,540,399	430	41,186	102,321	74,069	2,047,014
Retained Profit	(2,247)	8,611	(59,275)	(1,041,793)	28,585	30,996	(3,428)	(7,943)	(1,046,495)
Shareholders' Equity	4,671	158,713	75,682	500,106	30,064	95,612	99,245	67,315	1,031,408
TOTAL EQUITY & LIABILITIES	11,970	190,884	159,116	2,135,310	45,621	97,433	105,833	128,403	2,874,571

APPENDIX A4 GROSS WRITTEN PREMIUMS BREAKDOWN AS AT 31 DEC 2021

Name of Company	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)				
	New Business			Recurring Premiums			New Business			Recurring Premiums							
	Dec-20	Dec-21	Change (%)	Dec-20	Dec-21	Change (%)	Dec-20	Dec-21	Change (%)	Dec-20	Dec-21	Change (%)	Dec-20	Dec-21	Change (%)	Dec-21 Inflation Adjusted	Change - Inflation Adjusted
First Funeral	37	158	326%	19350	135292	599%	0	0	0%	28104	149174	431%	47491	284,623	499.32%	177073	272.86%
Foundation	111	177	60%	11724	49252	320%	0	0	0%	0	0	0%	11835	49,430	317.67%	30752	159.85%
Moonlight	4086	14312	250%	171175	806267	371%	0	0	0%	0	0	0%	175261	820,578	368.20%	510509	191.29%
Orchid	12	0	-100%	32	514	1507%	0	0	0%	489	1694	247%	532	2,208	314.67%	1374	157.98%
Passion	0	0	0%	3515	8464	141%	0	557	0%	9191	52379	470%	12706	61,400	383.24%	38199	200.64%
Ruvimbo	2439	10175	317%	5690	23742	317%	0	0	0%	0	0	0%	8129	33,917	317.24%	21101	159.58%
Sunset	1403	73	-95%	456	3234	609%	0	0	0%	0	423	0	1860	3,730	100.57%	2321	24.78%
Vineyard	1723	656	-62%	649	18897	2811%	5285	2966	-44%	8668	56328	5	16325	78,847	382.98%	49053	200.48%
TOTAL	9810	25550	160%	212591	1045662	392%	5285	3523	-33%	46452	259998	460%	274139	1,334,733	386.88%	830382	202.91%

APPENDIX A5 COST AND EARNINGS ANALYSIS FOR THE FUNERAL ASSURANCE INDUSTRY AS AT 31 DEC 2021

Co. Name	NPW (000)			Claims (000)			Commissions(000)			Management Expenses (000)			Total Costs(000)			Combined Ratio		
	Dec-20	Dec-21	Change	Dec-20	Dec-21	Change	Dec-20	Dec-21	Change	Dec-20	Dec-21	Change	Dec-20	Dec-21	Change	Dec-20	Dec-21	Change
First Funeral	47,491	284,623	499%	13,872	79,517	473%	10,751	68,059	533%	18,218	115,373	533%	42,841	262,949	514%	90%	92%	2%
Foundation	11,835	49,430	318%	973	8,425	766%	709	3,103	338%	9,703	40,477	317%	11,384	52,004	357%	96%	105%	9%
Moonlight	175,261	820,578	368%	36,332	150,720	315%	4,256	16,510	288%	113,375	548,541	384%	153,962	715,771	365%	88%	87%	-1%
Orchid	532	2,208	315%	20	14	-30%	-	74	0%	-	2,953	#DIV/0!	20	3,041	14948%	4%	138%	134%
Passion	12,706	61,400	383%	5,436	21,490	295%	8	-	-100%	3,254	-	-100%	8,698	21,490	147%	68%	35%	-33%
Ruvimbo	8,129	33,917	317%	760	4,322	469%	-	-	0%	4,108	18,557	352%	4,867	22,879	370%	60%	67%	8%
Sunset	1,860	3,730	101%	70	342	387%	59	365	517%	1,856	121	-93%	1,985	828	-58%	107%	22%	-85%
Vineyard	16,325	78,847	383%	7,580	17,148	126%	1,419	3,822	169%	9,425	39,133	315%	18,423	60,102	226%	113%	76%	-37%
Total	274,139	1,334,733	387%	65,043	281,977	334%	17,201	91,933	434%	159,937	765,154	378%	242,180	1,139,064	370%	88%	85%	-3%